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AI safety regulation bill heads to NY governor's desk

By [Jacob Robbins](#)

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AI regulation is back in the limelight with lawmakers in New York passing the safety-focused RAISE Act on Thursday—and VCs aren't happy.

It's the first comprehensive attempt to regulate AI safety at the state level since lawmakers in California [passed SB 1047 in August](#). But it's still unclear if the bill will have a better fate than its West Coast predecessor and not be [vetoed by the governor](#).

The RAISE Act, which was introduced by Democratic Sen. Andrew Gounardes, requires large language model developers to create and publish safety protocols and risk evaluations. The law also mandates that companies disclose if AI models are stolen by bad actors and if the models behave in dangerous ways. For companies that don't comply, the law gives the New York attorney general authority to levy civil penalties of up to \$30 million.

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The new rules would only apply to companies that used more than \$100 million in computing resources to train their models.

"Would you let your child ride in a car with no seatbelt or airbags?" said Gounardes in a statement. "Of course not. So why would you let them use an incredibly powerful AI without basic safeguards in place?"

The bill now goes to the desk of Gov. Kathy Hochul, who hasn't signaled whether she'll sign, veto or ask for amendments.

Venture capitalists, unsurprisingly, are unhappy.

"The NY RAISE Act is yet another stupid, stupid state level AI bill that will only hurt the US at a time when our adversaries are racing ahead," wrote [Andreessen Horowitz](#) GP Anjney Midha in an X post.

Similar concerns over stifling AI development ultimately killed SB 1047 in California eight months ago. VCs and startups were up in arms over the requirement that AI model developers include a "kill switch" and the possibility of these companies being handed civil responsibility for harms their models may have caused.

Again, some in the industry are concerned that such a bill could end up helping large AI companies succeed. While [Anthropic](#) hasn't taken a position on the bill, co-founder Jack Clark wrote on X that he's concerned the RAISE Act is too broad and that huge levies for noncompliance could disproportionately hurt smaller startups.

“We think it’d be great if there could be a federal transparency standard,” he wrote. “Ideally there would be a single rule for the country.”

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About [Jacob Robbins](#)

Reporter Jacob Robbins covers artificial intelligence and the venture capital ecosystem for PitchBook. Based in Seattle, Jacob is originally from Massachusetts and holds dual degrees in political science and cinema studies from the American University. His work has previously appeared in Air Mail and Business Insider.

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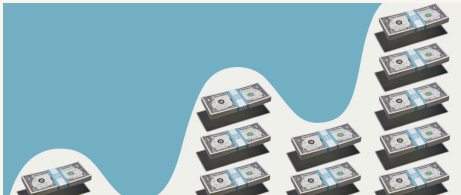


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